PacIXP Society Constitution

1. NAME

The name of the Society shall be the "Pacific Islands Internet Exchange Incorporated" ("the Society"). The Society shall have the ability to nominate a trading name suitable for its purposes as resolved by the Committee as it deems fit.

2. INTERPRETATION

2.1. **Definitions:** In this Constitution unless a contrary interpretation appears:

(a) **Act:** means the Incorporated Societies Act 2022.

(b) **Affiliate Member:** means any member of the Society as constituted in Rule 6.4.

(c) **Annual General Meeting:** means the annual meeting of the Society.

(d) **Authorised Representative:** means the representative of a non-natural person Member authorised to act on behalf of the relevant Member in accordance with Rule 6.9.

(e) **Chairperson:** means the person elected by the Committee as chairperson of the Society.

(f) **Clear Day:** means all days excluding: i. weekends; and ii. national public holidays in the country in which the Society has its registered office.

(g) **Committee:** means the management committee of the Society as constituted in Rule 8.

(h) **Committee Meeting:** means the meetings of the Committee.

(i) **Committee Member:** means a member of the Committee, including the Chairperson, Secretary and Treasurer.

(j) **Constitution:** means the provisions and rules contained in this constitution of the Society.

(k) **Foundation Member:** means any one of:

(i) the Initial Fiji Representative or, upon a nomination by the Initial Fiji Representative in accordance with Rule 6.6 becoming effective, the New Foundation Member so appointed;

(ii) the Initial Samoa Representative or, upon a nomination by the Initial Samoa Representative in accordance with Rule 6.6 becoming effective, the New Foundation Member so appointed; and

(iii) New Zealand Internet Exchange Incorporated;

and "**Foundation Members**" shall mean all of them. A Foundation Member shall not be construed to include a member, agent or other representative of a Foundation Member.

(l) **Full Member:** means any member of the Society as constituted in Rule 6.3.

(m) **Interested Member:** means a Committee Member who is interested in a matter for any of the reasons set out in the Act.

(n) **Interests Register:** means the register of interests of Committee Members, as referred to in Rule 10.3.

(o) **General Meeting:** means either an Annual General Meeting or a Special General Meeting.

(p) **Initial Fiji Representative:** means the Ministry of Trade, Cooperatives, Small and Medium Enterprises, and Communications of the Government of Fiji.

(q) **Initial Samoa Representative:** means the Ministry of Communications and Information Technology of the Government of Samoa.

(r) **Member:** means any member of the Society as specified in Rule 6.

(s) **New Foundation Member:** means a person who replaces either the Initial Fiji Representative or the Initial Samoa Representative as a Foundation Member in accordance with Rule 6.6.

(t) **Patron:** means the person (if any) appointed to that position by the Committee from time to time pursuant to Rule 9.1(e).

(u) **Region:** means the geographic area generally located south from Hawaii, north from (and including) New Zealand, east of Australia and west of (and including) Tahiti unless the context requires otherwise.

(v) **Resolution:** Unless otherwise specified in this Constitution, shall mean, in respect of a General Meeting, any resolution passed at a General Meeting by a majority of the Members attending in person, by electronic means, or by proxy.

(w) **Secretary:** means the person elected by the Committee as secretary of the Society.

(x) **Society:** means Pacific Islands Internet Exchange Incorporated.

(y) **Special General Meeting:** means a meeting of the Society convened in accordance with Rule 7.3.

(z) **Treasurer:** means the person elected by the Committee as treasurer of the Society.

2.2 **Interpretation:** Unless the context otherwise requires, in this Constitution:

(a) Headings are inserted for convenience only and shall be ignored in construing any matter.

(b) References to a person shall include a natural person, company, association or other entity, whether incorporated or not and whether or not having a separate legal personality and includes that persons successors, assigns, executors and administrators.

(c) Words denoting individuals shall include corporations and vice versa.

(d) References to any legislation or to any provision of legislation shall be deemed to be references to that legislation or provision as from time to time amended, re-enacted or substituted in the relevant jurisdiction, and further, unless the context requires otherwise, shall also include any statutory instruments or regulations issued under such legislation or provision. Unless otherwise specified, references to any legislation are to New Zealand legislation.

(e) The words 'includes' or 'including' shall not imply any limitation.

3. PURPOSES AND POWERS

3.1. **Background:** The Society is a not-for-profit common interest society which is established to maintain and extend the interests of the professional internet community throughout the Region. The underlying principles of the Society are to widely promote the internet, its applications and associated technologies, as an essential attribute to the business and not-for-profit sectors, while also advancing internet services and benefits to private citizens in the community.

3.2. **Purposes:** The primary purposes of the Society are to:

(a) support and protect the interests of the Internet community throughout the Region;

(b) assist the operation and expansion of Internet usage within the Region including but not limited to Internet based services;

(c) promote education and informed discussions on matters relating to the Internet;

(d) support, encourage and advise on the development and use of online services and related innovations;

(e) develop and maintain valuable links with similar organisations within the Region and globally for the benefit of Members; and

(f) offer services to Members and the general public to assist in fulfilling the aforementioned stated objects.

3.3. **Powers:** The Society shall achieve the aforementioned purposes by exercising its full legal powers permitted under law, including to:

(a) establish, operate and administer at least one Internet exchange point spanning multiple nations within the Region;

(b) operate and administer one or more network fabrics to interconnect and/or extend Internet Exchange points within the Region;

(c) determine, implement and enforce protocols, policies and rules for the operation and use of any Internet exchange point or network fabric operated by the Society;

(d) purchase, lease, hire, or otherwise acquire and hold real and personal property, rights, and privileges;

(e) construct, maintain and alter any buildings, premises or facilities and carry out works it considers necessary or desirable for the advancement or improvement of such buildings, premises or facilities;

(f) sell, lease, mortgage, charge or otherwise dispose of any property of the Society and to grant such rights and privileges of such property as it considers appropriate;

(g) control and raise money, including to borrow, invest, loan or advance monies and to secure the payment of such by way of mortgage, or charge over all or part of any of its real and personal property provided that interest paid on such funds borrowed or raised must not exceed the current market rate, and funds advanced or loaned must be at no lesser than the current market rate, unless the recipient of such funds loaned or advanced has objects the same as or similar to the objects of the Society;

(h) determine, raise and receive money by subscriptions, fees, levies, sponsorship or otherwise;

(i) engage people and organisations to work for and with the Society, provided that the payment for such services shall not exceed the market rate;

(j) if so determined by the Committee, to be a member of the Asia Pacific Internet Exchange Association or any successor or similar organisation;

(k) determine who are its Members in accordance with this Constitution;

(l) establish and maintain the Committee, sub-committees, and other groups and to delegate its powers and functions to such groups;

(m) establish, maintain, and have an interest in corporate or other entities to carry on and conduct any part of the affairs of the Society and for that purpose, to utilise any of the assets of the Society;

(n) produce, develop, create, licence and otherwise exploit, use, and protect the Intellectual Property of the Society; and

(o) purchase or otherwise acquire all or any part of the property, assets and liabilities of any one or more companies, institutions, incorporated societies or organisations whose activities or objects are similar to those of the Society, or with which the Society is authorised to amalgamate or merge, or generally for any purpose designed to benefit the Society; and do any other acts or things which further its objects.

The powers specified in this Rule 3.3 shall not limit the rights and powers of the Society as an incorporated society under the Act.

4. ACT AND REGULATIONS

Nothing in this Constitution authorises the Society to do anything which contravenes or is inconsistent with the Act, any regulations made under the Act, or any other legislation.

5. REGISTERED OFFICE AND CONTACT PERSON

5.1. **Registered Office:** The registered office of the Society shall be at such place as determined by the Committee from time to time.

5.2. **Contact Person:** The Society shall have at least 1 but no more than 3 contact person(s). The Society's contact person(s) shall be appointed and removed by the Committee and must be:

(a) at least 18 years of age; and
(b) ordinarily resident in New Zealand.

Any change to a contact person or that person's name or contact details shall be notified to the Registrar of Incorporated Societies within 20 Clear Days of that change occurring, or the Society becoming aware of the change.

6. MEMBERSHIP

6.1. **Membership Categories**: The Society shall have three categories of Members:

(a) Full Members (Rule 6.3);

(b) Affiliate Members (Rule 6.4); and

(c) Foundation Members (Rule 6.5).

Within the specified membership categories there may be sub-categories of membership as determined by the Committee.

6.2. **Eligibility**: All persons with an expressed interest in the Internet industry, who support the purposes of the Society and who meet any other criteria specified by the Committee shall be eligible to become Members.

6.3. **Full Members**: Full Members shall:

(a) be entitled to all the rights and privileges of full membership of the Society including the right to speak and vote at General Meetings; and

(b) have the right to connect to any Internet exchange operated by the Society subject to compliance with any applicable terms and conditions imposed by the Committee.

6.4. **Affiliate Members**: Affiliate Members:

(a) shall not have voting rights; and

(b) may, with the approval of the Committee and subject to compliance with any applicable terms and conditions, connect to any Internet exchange operated by the Society.

6.5. **Foundation Members**: Each Foundation Member shall:

(a) be entitled to all the rights and privileges of a Full Member of the Society (and, to avoid doubt, shall be included in any count of Full Members for the purpose of the quorum requirements in Rule 7.4) but shall not be required to pay any membership fee; and

(b) have the other rights, powers and privileges as are set out in this Constitution,

until the earlier of, such time as that Foundation Member resigns as a Foundation Member by notice in writing to the Society including, in the case of the Initial Fiji Representative and the Initial Samoa Representative, a deemed resignation under Rule 6.6(d).

Following the resignation of all of the Foundation Members, Rules 8.1(a) and 16.1(b) shall cease to have any effect and the requirement in Rule 17.3(a) for a majority of the Foundation Members to approve a first resolution to wind up the Society shall no longer apply.

6.6. **New Foundation Members:** Each of the Initial Fiji Representative and the Initial Samoa Representative (in this Rule 6.6, each being a "Nominator") shall have the right to appoint another person (in this Rule 6.6, the "Nominee") to be a Foundation Member in its place. The exercise of the Nominator's right of appointment shall be subject to the following requirements:

(a) the Nominee must be incorporated or established in the same country as the Nominator and must be, in the reasonable opinion of the Nominator, a person who:
   (i) has an established interest in the development, improvement and protection of internet services in that country and in the Region generally; and
   (ii) is willing and able to promote and advance the purposes of the Society as provided in Rule 3.2.

(b) appointment of a Nominee shall be made by notice in writing to the Secretary duly signed by or on behalf of the Nominator ("Notice"). The Notice shall include:
   (i) the name and contact details of the Nominee and the Nominee's Authorised Person;
   (ii) the written consent of the Nominee to becoming a New Foundation Member in the form reasonably required by the Committee; and
   (iii) the effective date of the Nominee's appointment and the Nominator's resignation as a Foundation Member, which shall be not be less than 40 Clear Days from the date of the Notice (the "Effective Date").

(c) the Nominator may withdraw its Notice and the appointment any time prior to the Effective Date by notice in writing to the Secretary. If a Notice is so withdrawn, the relevant Nominator may make another future appointment in accordance with this Rule 6.6.

(d) if an appointment has not been withdrawn in accordance with Rule 6.6(c), on and with effect from the Effective Date,

(i) the Nominator shall be deemed to have:

(aa) given notice under Rule 8.6(a) removing the Committee Member appointed by the Nominator (if any); and

(bb) resigned as a Foundation Member of the Society; and

(ii) the Nominee shall become a New Foundation Member with the rights and privileges of a Foundation Member under this Constitution (other than the right under this Rule 6.6 to nominate a replacement).

6.7. **Conduct**: All Members shall promote the interests and the purposes of the Society and shall do nothing to bring the Society into disrepute.

6.8. **Applications for Membership**: Every applicant for membership must consent in writing to becoming a Member. An applicant for membership shall make application to the Committee in the form and manner as the Committee shall decide and supply any further information or attend an interview as may be reasonably required by the Committee. The Committee may accept or decline application for membership on any lawful grounds. The Committee is not required to give reasons for any refusal to grant membership but may choose to do so.

6.9. **Nomination of Authorised Person**: Where a Member is a company, association or other entity, whether incorporated or not and whether or not having a separate legal personality, that Member shall nominate in writing from time to time a natural person as its Authorised Representative in matters relating to the Society that require the involvement of that Member including, unless otherwise specified in this Constitution, election as a Committee Member or appointment to any sub-committee acting on behalf of the Society. Nothing in this Rule shall relieve that Member of its obligations to comply with this Constitution.

6.10. **Term of Membership**: The term of membership for all Members shall:

(a) commence on the date the person's membership is accepted by the Committee or any other date as may be specified by the Committee; and

(b) continue until membership ceases in accordance with Rule 6.11 or Rule 6.12.

6.11. **Cessation of Membership:** A Member ceases to be a Member:

(a) on death (or if a body corporate on liquidation or deregistration, or if a partnership on dissolution of the partnership);

(b) by resignation from that Member's class of membership by notice to the Secretary including, in the case of the Initial Fiji Representative and the Initial Samoa Representative, a deemed resignation under Rule 6.6(d)(i); or

(c) on termination of that Member's membership under this Constitution,

with effect from (as applicable):

(d) the date of death of the Member (or if a body corporate from the date of its liquidation or deregistration, or if a partnership from the date of its dissolution);

(e) the date 10 Clear Days after receipt of the notice of resignation by the Secretary (or any later date stated in the notice of resignation);

(f) in the case of the Initial Fiji Representative and the Initial Samoa Representative, the date of any deemed resignation in accordance with Rule 6.6(d)(i);

(g) the date of termination of membership under this Constitution; or

(h) the date specified in a resolution of the Committee.

6.12. **Termination of Membership:** The Committee may determine to end the membership of any Member other than a Foundation Member if:

(a) any payment due by the Member to the Society is more than 20 Clear Days overdue;

(b) the Member fails to observe this Constitution, or any bylaw, code or policy of the Society;

(c) the Committee considers that the conduct of the Member has or may materially and adversely affect the reputation of the Society; or

(d) the Member is convicted of a criminal offence in the Member's country of residence or incorporation,

and in accordance with the following procedure:

(e) the Committee must:
  (i) give the Member written notice of its preliminary decision to terminate the Member's membership and the reasons for it;
  (ii) allow the Member a reasonable time to remedy any default which can be remedied; and
  (iii) give the Member a reasonable time and opportunity to explain its actions.

(f) the Member may explain its actions in writing to the Committee or by its Authorised Representative appearing before the Committee;

(g) the Committee may resolve to terminate the Member's membership if:

(i) the default cannot be remedied or is not remedied within the time allowed; and

(ii) the Member does not offer an explanation within the time allowed or the Committee does not accept the Member's explanation.

(h) the Committee shall then give written notice of termination to the Member.

Termination of membership shall take effect from the date of the Committee's resolution in sub-paragraph (g) or such other date as may be determined by the Committee.

6.13. **Obligations on Ceasing to be a Member:** A Member who resigns or whose membership otherwise ends under this Constitution:

(a) remains liable to the Society for payment of all moneys which are due for payment before his, her or its membership ends;

(b) must immediately return to the Society all property of the Society which is in the Member's possession or control; and

(c) must not hold him, her or itself out in the future as a Member of the Society.

6.14. **Becoming a Member Again:** Any former Member may apply for re-admission in the manner prescribed for new applicants. If a former Member's membership was terminated by the Committee under Rule 6.12 or following a dispute resolution process however, the applicant may be re-admitted only by resolution of the Members at a General Meeting on the recommendation of the Committee.

6.15. **Register of Members**: The Secretary shall keep a register of Members which shall include the information prescribed by the Act. Every Member shall promptly advise the Society of any change to that Member's details.

6.16. **Access to Register of Members:** With reasonable notice and at reasonable times, the Society shall make the Register of Members available for inspection by Members and Committee Members. However, no access will be given to information on the Register of Members to Members or any other person, other than as required by law.

7. MEETINGS

7.1. **Committee Meetings:**

(a) **Timing**: The Committee shall meet as required at such times and places as it may determine and otherwise as convened by the Chairperson or Secretary. The Chairperson or Secretary must convene a Committee Meeting as soon as reasonably practicable on the written request of any 2 Committee Members.

(b) **Chairperson**: In the absence of the Chairperson, the Committee shall elect another Committee Member to act as chairperson for that meeting.

(c) **Quorum**: At any Committee Meeting a quorum will be a majority of the Committee Members. If a quorum is not present within thirty minutes of the starting time for the meeting then no business shall be discussed

and the meeting shall be adjourned to a date, being not less than 5 Clear Days later at the time and venue fixed by those Committee Members who are present. At such reconvened meeting if a quorum is not present then those Committee Members present 30 minutes after the starting time of the reconvened meeting shall constitute a quorum.

(d) **Voting**: At all Committee Meetings each member of the Committee, except the Patron (who shall not have a vote), shall have one vote provided that in the situation where the vote is split equally then the Chairperson shall have a second and casting vote. Resolutions of the Committee shall be passed by majority.

(e) **Written Resolution of the Committee**: Notwithstanding any contrary provision in this Constitution, a resolution in writing signed or otherwise assented to by all of the Committee Members entitled to vote shall be as valid and effectual as if it had been passed at a meeting of the Committee duly convened and constituted. Such resolution in writing may be in an electronic form or consist of several documents (including documents sent by electronic mail or other visible form of electronic communication) in like form, each signed or assented to by one or more of the Committee Members.

(f) **Closed Meetings**: Committee meetings shall be private and exclude other Members of the Society, unless resolved by the Committee otherwise.

7.2. **Annual General Meeting:**

(a) **Timing**: The Society shall hold an Annual General Meeting on a date and location as determined by the Committee and consistent with any requirements in the Act.

(b) **Notice**: Notice of the Annual General Meeting shall be given to members in writing, with an agenda, at least 20 Clear Days before such meeting. Notice may be given by such medium as the Committee considers desirable.

(c) **Purpose**: The primary purposes of the Annual General Meeting shall be to:

(i) confirm the minutes of previous General Meeting(s);
(ii) adopt the annual report on the Society's business;
(iii) adopt the Treasurer's report on the finances of the Society, the annual financial statements and any auditor's report;
(iv) set annual membership fees, if any, after considering any recommendation of the Committee in that regard;
(v) Consider any motions, including the election or removal of such Committee members as may be necessary or considered desirable by the Members;
(vi) Appoint an auditor for the ensuing year if required or if so requested by not less than 10% of the Members in attendance at the Annual General Meeting; and
(vii) Consider any general business.

(d) **Information to be presented:** The Committee must present the following information at each Annual General Meeting:

(i) an annual report on the affairs of the Society during the most recently completed accounting period;

(ii) the annual financial statements for that period and any auditor's report; and

(iii) notice of any disclosures of conflicts of interest made by Committee Members during that period (including a brief summary of the matters, or types of matters, to which those disclosures relate).

7.3. **Special General Meetings**:

(a) **Calling of:** A Special General Meeting of the Society shall be called within 5 Clear Days by the Committee on receipt of a written request signed by:

(i) at least two members of the Committee; or

(ii) at least five Members of the Society.

Any such request must state the business that the Special Business Meeting is to deal with.

(b) **Notice:** At least 10 Clear Days' notice shall be given to Members of any Special General Meeting and the only business to be discussed at the Special General Meeting will be to:

(i) pass a resolution of no confidence in the Committee; and/or

(ii) consider any business included in the written request which led to the convening of the Special General Meeting.

7.4. **Quorum for General Meetings:** A quorum for any General Meeting of the Society will be 15 Full Members or one-third of the Full Members, whichever is the lesser attending in person or by proxy. As long as the Society has one or more Foundation Members, at least one Foundation Member must be included in the number of Full Members for the purpose of establishing a quorum under this Rule.

If a quorum is not present within 30 minutes of the starting time for the meeting then no business shall be discussed and:

(a) in the case of an Annual General Meeting or a Special General Meeting convened at the request of the Committee under Rule 8.3(a)(i), the meeting shall be adjourned to the day, time and venue determined by the Chairperson or the person appointed in accordance with Rule 8.6 to chair the meeting. At such reconvened meeting if a quorum is not present then those Full Members present 30 minutes after the starting time of the reconvened meeting shall constitute a quorum; and

(b) in the case of a Special General Meeting convened at the request of Members under Rule 8.3(a)(ii), shall be dissolved.

7.5. **Format of Meetings:** All meetings of the Committee and General Meetings may be held at one or more venues and may include use of any audio link, audiovisual link or other electronic communication that gives each Member or Committee Member a reasonable opportunity to participate. The technical protocols and procedures for the implementation of meetings involving audio link, audiovisual link or other electronic communication will be detailed in guidelines as determined from time to time by the Committee.

7.6. **Chairperson:** The Chairperson will chair all General Meetings. If the Chairperson is not present within 15 minutes of the start time, the Secretary may chair the meeting. If neither the Chairperson nor Secretary are present at the meeting within 15 minutes of the start time, those Full Members present may elect another Committee Member to chair the meeting. Any person chairing a General Meeting may:

(a) with the consent of that General Meeting adjourn the General Meeting from time to time and from place to place but no business shall be transacted at any adjourned meeting other than the business left unfinished at the meeting from which the adjournment took place;

(b) direct that any person not entitled to be present at the Meeting, obstructing the business of the Meeting, behaving in a disorderly manner, being abusive, or failing to abide by the directions of the chairperson be removed from the Meeting; and

(c) in the absence of a quorum or in the case of emergency, adjourn the Meeting or declare it closed.

7.7. **Minutes:** Minutes of all General Meetings must be kept by the Secretary.

7.8. **Resolution in lieu of Meeting:** If so determined by the Committee, the Society may, in accordance with Subpart 5 of the Act, pass a written Resolution in lieu of a General Meeting other than a Resolution under:

(a) Rule 17 (Alterations of Constitution); or

(b) Rule 18 (Winding Up).

Any such written resolution shall lapse if not approved by at least seventy-five percent of the Members entitled to vote within 20 Clear Days of the circulation date (as that term is defined in section 90(1)(a) of the Act).

A Member may approve such written resolution by signing the Resolution or by otherwise giving their approval to the resolution by such electronic means as the Committee may reasonably provide for that purpose.

8. MANAGEMENT COMMITTEE

8.1. **Composition**: The Committee shall consist of not less than three and up to seven persons appointed or elected as follows:

(a) up to three persons appointed by the Foundation Members by notice in writing to the Society with each Foundation Member being entitled to appoint one person (who may, but need not be, that Foundation Member's Authorised Representative) to the Committee;

(b) up to seven persons (less the number of current Foundation Members) elected to the Committee by the Members at an Annual General Meeting; and

(c) if there is a vacancy on the Committee prior to the first Annual General Meeting or in the position of any Committee Member between Annual General Meetings, that vacancy may be filled by resolution of the Committee.

8.2. **Nominations**: A candidate for election at an Annual General Meeting may be nominated by any Full Member. A candidate's written nomination, accompanied by the consent and certificate of the nominee as required by Rule 8.4, must be received by the Secretary at least 10 Clear Days before the date of the Annual General Meeting. If

insufficient nominations are received, further nominations may be received from the floor at the Annual General Meeting, subject to compliance with Rules 8.3 and 8.4.

8.3. **Restrictions**: Not more than one officer, member or employee of any Member company or Member organisation may simultaneously hold positions as Committee Members. Related companies (as defined by the Companies Act 1993 or the applicable legislation in the country of the Member) will be treated as a single company for this purpose. This provision:

(a) shall not place any restriction on the nomination of candidates for election as Committee Members; and

(b) shall not apply in relation to any officer, member or employee of a Foundation Member including, without limitation, in relation to those persons (if any) appointed by the Foundation Members under Rule 8.1(a).

8.4. **Qualifications:** Prior to election or appointment, every prospective Committee Member must consent in writing to be a Committee Member and certify in writing that they are not disqualified from being appointed or holding office as a Committee Member by this Constitution or the Act.

8.5. **Election of Officers:** At the first Committee meeting and the first Committee meeting following each Annual General Meeting, the Committee shall elect from amongst their number:

(a) a Chairperson;

(b) a Treasurer;

(c) a Secretary; and

(d) such other officers (if any) as determined by the Committee.

8.6. **Term of Office:** Unless a Committee Member earlier resigns by notice in writing to the Society or is removed in accordance with Rule 8.7, Committee Members:

(a) appointed by a Foundation Member in accordance with Rule 8.1(a) shall serve until removal by that Foundation Member by notice in writing to the Society;

(b) elected by the Members at an Annual General Meeting in accordance with Rule 8.1(b) shall serve a term of three years from the end of the Annual General Meeting in which they were appointed until the end of the next Annual General Meeting; and

(c) appointed by the Committee under Rule 8.1(c) shall serve from the time of appointment until the end of the next Annual General Meeting.

8.7. **Removal of Committee Member:** Where a complaint is made about the actions or inaction of a Committee Member (in that person's capacity as a Committee Member and not in that Committee Member's capacity as a Member of the Society) the following steps shall be taken by the Committee:

(a) the Committee Member who is the subject of the complaint, must be:
  (i) advised in writing of all details of the complaint; and
  (ii) given adequate time as determined by the Committee to prepare a response.

(b) the complainant and the Committee Member who is the subject of the complaint, must be given an adequate opportunity to be heard, either in writing or at an oral hearing by the Committee (excluding the Committee Member who is the subject of the complaint) if it considers that an oral hearing is required.

(c) any oral hearing shall be held by the Committee (excluding the Committee Member who is the subject of the complaint), and/or any oral or written statement or submissions shall be considered by the Committee (excluding the Committee Member who is the subject of the complaint).

If the complaint is upheld, the Committee Member may be removed from the Committee by a resolution of the Committee or of a General Meeting, in either case passed by a simple majority of those present and voting.

9. POWERS OF THE MANAGEMENT COMMITTEE

9.1. **General Powers**: From the end of each Annual General Meeting until the end of the next Annual General Meeting, the Society shall be governed by the Committee, which shall be accountable to the Members for the advancement of the Society's purposes and the implementation of resolutions approved by any General Meeting. Without limiting the foregoing, the Committee shall have the power to:

(a) **Bylaws**: determine bylaws (to be known as "Bylaws") covering any matters as the Committee in its discretion deems appropriate, provided they are not inconsistent with this Constitution, the Act or regulations made under the Act. Bylaws shall be binding on all Members and may be rescinded, amended, or added to from time to time but only by resolution of the Committee.

(b) **Delegates**: appoint and to instruct delegates or representatives to bodies with which the Society is affiliated or which have provisions for representation of the Society at their meetings.

(c) **Employees**: employ and dismiss staff on such terms as the Committee considers necessary or desirable.

(d) **Temporary Appointments:** appoint a person to temporarily fulfil the duties of any officer of the Society during such period as such officer is unable to fulfil his/her duties.

(e) **Patron**: appoint a Patron of the Society from time to time on terms to be agreed between the Committee and the Patron. The Committee shall also have power to remove the Patron at any time and the Patron may also resign at any time.

9.2. **Duties of Committee Members:** At all times each Committee Member:

(a) shall act in good faith and in what he or she believes to be the best interests of the Society;

(b) must exercise all powers for a proper purpose;

(c) must not act, or agree to the Society acting, in a manner that contravenes the Act or this Constitution;

(d) when exercising powers or performing duties as a Committee Member, must exercise the care and diligence that a reasonable person with the same responsibilities would exercise in the same circumstances taking into account, but without limitation, the nature of the Society, the nature of the decision, the position of the Committee Member and the nature of the responsibilities undertaken by him or her;

(e) must not agree to the activities of the Society being carried on in a manner likely to create a substantial risk of serious loss to the Society or to the Society's creditors, or cause or allow the activities of the Society to be carried on in a manner likely to create a substantial risk of serious loss to the Society or to the Society's creditors; and

(f) must not agree to the Society incurring an obligation unless he or she believes at that time on reasonable grounds that the Society will be able to perform the obligation when it is required to do so.

9.3. **Sub-Committees:** The Committee may appoint sub-committees consisting of such persons (whether or not Members of the Society) and for such purposes as it thinks fit. Unless otherwise resolved by the Committee:

(a) the quorum of every sub-committee is half the members of the sub-committee but not less than two;

(b) no sub-committee shall have power to co-opt additional members;

(c) a sub-committee must not commit the Society to any financial expenditure without express authority; and

(d) a sub-committee must not further delegate any of its powers.

9.4. **Officers' Indemnities and Insurance:** The Society is expressly authorised to indemnify and/or insure any Committee Member against:

(a) liability (other than criminal liability) for a failure to comply with a duty under sections 54 or 61 of the Act or any other duty imposed on the Committee Member in his or her capacity as a member of the Committee; and

(b) costs incurred by that Committee Member for any claim or proceeding relating to that liability,

to the maximum extent permitted by the Act.

10. CONFLICTS OF INTEREST

10.1. **Disclosure of Interest:** A Committee Member and/or member of a sub-committee who is an Interested Member in respect of any matter being considered by the Society, must disclose details of the nature and extent of the interest (including any monetary value of the interest if it can be quantified):

(a) to the Committee and/or sub-committee; and

(b) to the Secretary (or such other person as maybe appointed under Rule 10.3 for that purpose) to record in the Interests Register.

Disclosure must be made as soon as practicable after the member of the Committee and/or sub-committee becomes aware that they are interested in the matter.

10.2. **Consequences of Interest:** A Committee Member and/or member of a sub-committee who is an Interested Member regarding a matter:

(a) must not vote or take part in the decision of the Committee and/or sub-committee relating to the matter; and

(b) must not sign any document relating to the entry into a transaction or the initiation of the matter;

but:

(c) may take part in any discussion of the Committee and/or sub-committee relating to the matter and be present at the time of the decision of the Committee and/or sub-committee (unless the Committee and/or sub-committee decides otherwise); and

(d) may still be counted for the purpose of determining whether there is a quorum at any meeting at which the matter is considered.

Where 50 per cent or more of Committee Members are prevented from voting on a matter because they are interested in that matter, a Special General Meeting must be called to consider and determine the matter, and where 50 per cent or more of the members of a sub-committee are prevented from voting on a matter because they are interested in that matter, the Committee shall consider and determine the matter.

10.3. **Interests Register:** The Secretary, or such other person as is appointed by the Committee for that purpose, shall maintain an up-to-date register of the interests disclosed by Committee Members.

11. VOTING AT GENERAL MEETINGS

11.1. **Method**: Each Full Member attending a General Meeting either in person or by proxy shall be entitled to one vote provided that if any Full Member is in default in payment of any annual membership fees or any other amount due and owing to the Society, such Member shall not be entitled to vote. To avoid doubt, a Full Member which is a body corporate may appoint a proxy or may be represented by its Authorised Representative. If the General Meeting incorporates attendance by audio, audio and visual or other electronic communication, those attending by such means shall vote by the electronic means specified in the notice of meeting or as otherwise specified by the Committee. Voting shall otherwise be by a show of hands or a poll and in accordance with the following provisions.

11.2. **Declaration**: Unless a poll is specifically requested, a declaration by the chairperson that the Resolution has been passed shall be considered conclusive proof that it was.

11.3. **Poll**: If a poll is requested by five or more Members at the meeting in response to a Resolution it shall be taken in such a manner as directed by the Chairperson and either at the meeting, or by postal or electronic ballot within 10 Clear Days of the meeting at which the poll is demanded, and the result of the poll shall be deemed to be the result of the Resolution.

11.4. **Decisions:** All decisions of General Meetings will be made by a majority of the votes of those Members present and entitled to vote unless this Constitution provide otherwise.

11.5. **Casting Vote:** In the case of equality of votes the person chairing the General Meeting shall be entitled to a second or casting vote.

11.6. **Proxies**: To be effective, a proxy must be appointed by a notice in writing that is signed by the Member in favour of some individual entitled to be present at the meeting and received by or handed to the Secretary, at least 1 Clear Day prior to the date of the relevant General Meeting. A proxy need not be a Member. Such notice of proxy must state whether the proxy is for a particular meeting (which shall include any adjournment) or for a particular period, not exceeding 12 months. The notice of proxy may direct the proxy to vote in a particular way in respect of any Resolution but if it does not then the proxy shall be free to vote on any Resolution as he or she thinks fit.

12. FINANCIAL MATTERS

12.1. **Financial Year:** Unless otherwise resolved by the Members, the financial year of the Society shall begin on 1 April and ends on 31 March the following year.

12.2. **Bank Accounts:** The Committee is authorised to open and operate bank accounts. The signatories of any such account(s) shall be any two of such persons as are designated for that purpose by the Committee from time to time. All funds received by the Society must be paid into its nominated bank account(s).

12.3. **Financial Records:** The Committee must

(a) keep, or cause to be kept, at all times proper accounting records that:
  (i) correctly record the transactions of the Society;
  (ii) allow the Society to produce financial statements that comply with the requirements of this Constitution and the Act; and
  (iii) would enable the financial statements to be readily and properly reviewed or audited if so required under this Constitution or the Act.

(b) establish and maintain a satisfactory system of control of the Society's accounting records.

12.4. **Annual Accounts:** The Committee must arrange for annual financial statements of the Society to be promptly prepared in accordance with generally accepted accounting practice at the end of each financial year. The annual financial statements for the preceding financial year must be:

(a) submitted to each Annual General Meeting; and

(b) filed with the Registrar of Incorporated Societies in the manner required by the Act.

12.5. **Audit of Financial Statements:** If an audit of the Society's annual financial statements is required (including pursuant to a request in accordance with Rule 7.2(c)(vi)), the Society shall appoint an auditor to audit the annual financial statements of the Society for the relevant year. The auditor must be a suitably qualified person and must not be a member of the Committee, or an employee of the Society. If the Society appoints an auditor who is unable to act for some reason, the Committee shall appoint another auditor as a replacement. The Committee is responsible to provide the auditor with:

(a) access to all information of which the Committee is aware that is relevant to the preparation of the financial statements such as records, documentation and other matters;

(b) additional information that the auditor may request from the Committee for the purpose of the audit; and

(c) reasonable access to persons within the Society from whom the auditor determines it is necessary to obtain information.

13. APPLICATION OF INCOME AND PECUNIARY GAIN

13.1. **Application of Income:** The income and property of the Society shall be applied to the purposes and objects of the Society within the Region.

13.2. **No Financial Gain:** The Society must not operate for the purpose of, or with the effect of:

(a) any Member of the Society deriving any personal financial gain from membership of the Society, other than as may be permitted by law; or

(b) returning all or part of the surplus generated by the Society's operations to Members, in money or in kind; or

(c) conferring any kind of ownership in the Society's assets on Members,

but the Society will not operate for the financial gain of Members merely because the Society will or may undertake any of the activities in section 24(1) of the Act.

13.3. **Interested Member:** No Member, Authorised Representative of a Member or other person associated with a Member shall participate in or materially influence any decision made by the Society in respect of the payment to or on behalf of that Member, Authorised Representative or other associated person of any income, benefit or advantage. Any such payment made by the Society to or on behalf of a Member or any person associated with a Member shall be reasonable and comparable to payments that would be paid on arm's length terms (being the open market value).

14. METHOD OF CONTRACTING

The Society may enter into any contract or other enforceable obligation in the manner provided by the Act.

15. DISPUTE RESOLUTION

The resolution of disputes (as that term is defined in the Act) must be conducted in accordance with the dispute resolution procedures set out in clauses 2 to 8 of Schedule 2 of the Act. Members and Committee Members are obliged to cooperate to resolve disputes efficiently, effectively, fairly and with minimum disruption to the activities of the Society.

16. ALTERATIONS OF CONSTITUTION

16.1. **Procedure**: This Constitution may only be altered, added to or repealed by a resolution passed by:

(a) at least a 2/3rds (67%) majority of the Full Members; and

(b) where the Society has one or more Foundation Members, a majority of the Foundation Members,

present and entitled to vote at a General Meeting called in accordance with this Constitution.

16.2. **Timing**: Notice of an intention to alter this Constitution must be proposed by the Committee or at least two Full Members in writing by submitting the proposed amendments to the Secretary at least 15 Clear Days prior to an Annual General Meeting or as part of a request to hold a Special General Meeting made in accordance with Rule 7.3.

16.3. **Notice:** When an amendment to the Constitution is approved by a General Meeting it shall be notified to the Registrar of Incorporated Societies in the form and manner specified in the Act for registration and shall take effect from the date of registration.

17. WINDING UP

17.1. **Voluntary Winding Up**: The Society may be wound up and removed from the Register of Incorporated Societies or put into liquidation in accordance with this Rule 17 and the provisions of the Act.

17.2. **Notice:** The Committee shall give notice to all Members of:

(a) the proposed resolution to wind up the Society and remove it from the Register of Incorporated Societies or to put the Society into liquidation;

(b) the General Meeting at which any such proposal is to be considered;

(c) the reasons for the proposal; and

(d) any recommendations from the Committee in respect to such proposal.

17.3. **Process:** A Resolution to wind up the Society and remove it from the Register of Incorporated Societies or to put the Society into liquidation must be:

(a) approved at the General Meeting and, where the Society has one or more Foundation Members, approved by a majority of the Foundation Members; and

(b) confirmed by a second Resolution at a subsequent Special General Meeting called for that purpose and held not earlier than 30 Clear Days after the date on which the Resolution to be confirmed was passed.

17.4. **Surplus Assets:** On the winding up or liquidation or removal from the Register of Incorporated Societies of the Society, its surplus assets after payment of all debts, costs and liabilities:

(a) shall be vested in one or more not-for-profit entities as may be resolved by the Members in the Resolutions passed under Rule 17.3(b) so long as the Society complies with this Constitution and the Act in all respects; or

(b) shall otherwise be vested in one or more not-for-profit entities within the Region with a similar purpose to that of the Society.

18. INTERPRETATION OF THIS CONSTITUTION

18.1. **Substantial Compliance:** A substantial compliance with this Constitution whether as to form, time, number or any other matter in all cases shall be good and sufficient and no regulation, resolution, decision, election, appointment, notice or other matter or thing shall be invalided by reason only of a failure to comply exactly with this Constitution. In particular, the accidental omission to give notice to, or the non-receipt of notice by, any Member or Committee Member shall not invalidate the proceedings at any meeting to which the notice relates.